

Chapter 4: Clubbing of Income

Illustration 01 [PYQ May 2016]

Mr. Ramesh gifted a sum of ₹ 5 lacs to his brother's minor son on 16-4-2025. On 18-4-2025, his brother gifted debentures worth ₹ 6 lacs to Mrs. Ramesh. Son of Mr. Ramesh's brother invested the amount in fixed deposit with Bank of India @ 9% p.a. interest and Mrs. Ramesh received interest of ₹ 45,000 on debentures received by her. Discuss the implications under the provisions of the Income-tax Act, 1961.

Solution

In the given case, Mr. Ramesh gifted a sum of ₹ 5 lacs to his brother's minor son on 16.4.2025 and simultaneously, his brother gifted debentures worth ₹ 6 lacs to Mr. Ramesh's wife on 18.4.2025. Mr. Ramesh's brother's minor son invested the gifted amount of ₹ 5 lacs in fixed deposit with Bank of India. These transfers are in the nature of cross transfers. Accordingly, the income from the assets transferred would be assessed in the hands of the deemed transferor because the transfers are so intimately connected to form part of a single transaction and each transfer constitutes consideration for the other by being mutual or otherwise.

If two transactions are inter-connected and are part of the same transaction in such a way that it can be said that the circuitous method was adopted as a device to evade tax, the implication of clubbing provisions would be attracted.

As per Section 64(1 A), all income of a minor child is includible in the hands of the parent, whose total income, before including minor's income is higher. Accordingly, the interest income arising to Mr. Ramesh's brother's son from fixed deposits would be included in the total income of Mr. Ramesh's brother, assuming that Mr. Ramesh's brother's total income is higher than his wife's total income, before including minor's income. Mr. Ramesh's brother can claim exemption of ₹ 1,500 under section 10(32). Interest on debentures arising in the hands of Mrs. Ramesh would be taxable in the hands of Mr. Ramesh as per section 64(1)(iv).

This is because both Mr. Ramesh and his brother are the indirect transferors of the income to their spouse and minor son, respectively, with an intention to reduce their burden of taxation.

In the hands of Mr. Ramesh, interest received by his spouse on debentures of ₹ 5 lacs alone would be included and not the entire interest income on the debentures of ₹ 6 lacs, since the cross transfer is only to the extent of ₹ 5 lacs.

Hence, only proportional interest (i.e., $\frac{5}{6}$ th of interest on debentures received) ₹ 37,500 would be includible in the hands of Mr. Ramesh.

The provisions of Section 56(2)(vii) are not attracted in respect of sum of money transferred or value of debentures transferred, since in both the cases, the transfer is from a relative.

Illustration 02 [PYQ Nov 2016]

Discuss the taxability or otherwise in the hands of the recipients, as per the provisions of the Income-tax Act, 1961:

Mr. N, a member of his father's HUF, transferred a house property to the HUF without consideration. The value of the house is ₹ 10 lacs as per the Registrar of stamp duty.

Solution

Gift from a relative is not taxable in the hands of HUF.

Illustration 03 [PYQ Nov 2017]

Kamal gifted ₹ 10 lakhs to his wife, Sulochana on her birthday on, 1st January, 2025. Sulochana lent ₹ 5,00,000 out of the gifted amount to Krishna on 1st April, 2025 for six months on which she received interest of ₹ 50,000. The said sum of ₹ 50,000 was invested in shares of a listed company on 15th October, 2025, which were sold for ₹ 75,000 on 30th December, 2025. Securities transactions tax was paid on such sale. The balance amount of gift was invested as capital by Sulochana in a business. She suffered loss of ₹ 15,000 in the business in Financial Year 2025-26. In whose hands the above income and loss shall be included in Assessment Year 2026-27. Support your answer with brief reasons.

Solution

As per Section 64(1)(iv), in computing the total income of any individual, there shall be included all such income as arises directly or indirectly, to the spouse of such individual from assets transferred directly or indirectly, to the spouse by such individual otherwise than for adequate consideration or in connection with an agreement to live apart. Accordingly, ₹ 50,000, being the amount of interest on loan received by Ms. Sulochana, wife of Mr. Kamal, would be includible in the total income of Mr. Kamal, since such loan was given by her out of the sum of money received by her as gift from her husband. Assuming that the capital was invested in business by Ms. Sulochana on or before 1st April, 2025, and capital invested was entirely out of the funds gifted by her husband, the entire loss of ₹ 15,000 from the business carried on by Ms. Sulochana would also be includible in the total income of Mr. Kamal [As per Explanation 3 to Section 64(1)(iv)]. If, however, it is assumed that capital invested was partly out of the funds gifted by her husband, the loss includible in the hands of Mr. Kamal has to be determined by apportioning the loss of ₹ 15,000 incurred during the year on the basis of the capital employed on 1.4.2025.

Since income includes loss as per Explanation 2 to Section 64, clubbing provisions would be attracted even if there is loss and not income.

The short-term capital gain of ₹ 25,000 (₹ 75,000, being the sale consideration less ₹ 50,000, being the cost of acquisition) arising in the hands of Ms. Sulochana from sale of shares acquired by investing the interest income of ₹ 50,000 earned by her (from the loan given out of the sum gifted to her by her husband), would not be included in the hands of Mr. Kamal.

Income from the accretion of the transferred asset is not liable to be included in the hands of the transferor and therefore such income is taxable in the hands of Ms. Sulochana. Since securities transaction tax has been paid, such short-term capital gain on sale of listed shares is taxable @ 20% in the hands of Ms. Sulochana.

Illustration 04 [PYQ Nov 2018]

Answer the following:

CA Jasmeet Singh



Mrs. and Mr. Vinod Amin have two minor children M and N. The following are the receipts in the hands of M and N during the year ended 31-3-2026:

- (i) M received a gift of ₹ 70,000 from her friend's father on the occasion of her birthday.
- (ii) M won a prize money of ₹ 3,00,000 in National Quiz Competition. This was invested in debentures of a company, from which interest of ₹ 19,000 (gross) accrued during the year.
- (iii) N won prize in a lottery. The net amount received after deduction of tax at source was ₹ 1,05,000.

Mr. Vinod Amin's income before considering clubbing provisions is higher than that of his wife. Discuss how these items will be considered for taxation under the provisions of the Income Tax Act, 1961. Detailed computation of income is not required.

Solution

- (i) Gift received from non-relative by minor daughter M
Gift of ₹ 70,000 received by minor daughter M, from non-relative would be taxable, since the amount of gift exceeds ₹ 50,000. It would be included in the hands of her father, Mr. Vinod Amin, since his income before considering clubbing provisions is higher than that of his wife.
- (ii) Prize money of ₹ 3,00,000 in National Quiz Competition/Interest on debentures received by minor daughter M
Income derived by a minor child from any activity involving application of his/her skill, talent, specialised knowledge and experience is not to be included in the hands of parent. Hence, the prize money of ₹ 3,00,000 won in National Quiz Competition by minor daughter M from exercise of special talent would not be included in the income of either parent.
However, interest of ₹ 19,000 on debentures has to be included in the hands of her father, Mr. Vinod Amin, even if the investment is made out of income arising from application of special talent.
Exemption of ₹ 1,500 would be allowed in respect of the aggregate income of minor daughter M so included in the hands of Mr. Vinod Amin under section 10(32).
- (iii) Winning from lottery by minor child N
Winnings of ₹ 1,50,000 ($1,05,000 \times 100/70$) from lotteries by minor child N is includible in the hands of his father, Mr. Vinod Amin. Mr. Vinod Amin can claim credit of tax of ₹ 45,000 deducted at source from such lottery income.

Note : As regards availability of exemption under section 10(32) in respect of lottery income of minor child N includible in the hands of his father, there are two possible views. Since exemption of upto ₹ 1,500 under section 10(32) is available in respect of any income of minor child includible in the total income of parent, one view is that such exemption would also be available in respect of lottery income of a minor child includible in the hands of parent.

The alternate view is that since as per section 58(4), no deduction is allowable in respect of any expenditure or allowance in connection with lottery income under any provision of the Income-tax Act, 1961, exemption under section 10(32) would also not be available in respect of such income of minor child includible in the hands of the parent.



Further, lottery income is subject to tax at a flat rate of 30%, and hence, if any exemption is allowed in respect of such income, it would reduce the tax liability and the effective rate of tax.

Illustration 05 [PYQ Nov 2019]

Mr. Mahadev, a noted bhajan singer of Rajasthan and his wife Mrs. Dariya furnish the following information relating to the Assessment Year 2026-27.

		₹
1	Income of Mr. Mahadev - professional bhajan singer (computed)	5,65,000
2	Salary income of Mrs. Dariya (computed)	3,80,000
3	Loan received by Mrs. Dariya from Ramu & Jay (Pvt) Ltd. (Mrs. Dariya holds 35% shares of the Co. The Co. has incurred losses since its inception 2 years back)	2,50,000
4	Income of their minor son Golu from winning singing reality show on T.V.	2,50,000
5	Cash gift received by Golu from friend of Mr. Mahadev on winning the show	21,000
6	Interest income received by minor married daughter Gudia from deposit with Ramu & Jay Pvt Ltd.	40,000

Compute total taxable income of Mr. Mahadev & Mrs. Dariya for the Assessment Year 2026-27.

Solution

Computation of total taxable income of Mr. Mahadev and Mrs. Dariya for the Assessment Year 2026-27

	Particulars	Mr. Mahadev	Mrs. Dariya
(i)	Income from Salary (computed)	-	3,80,000
(ii)	Income of Profession (computed)	5,65,000	-
(iii)	Loan received by Mrs. Dariya from Ramu and Jay (Pvt.) Ltd. [As Mrs. Dariya holds 35% shares of the company and it is receiving loan from the company it is covered by Section 2(22)(e), but it will be taxable to the extent of accumulated profits. Since the company incur losses from inception hence nothing is taxable in this case.]	-	-
(iv)	Income of minor son golu winning singing reality show Will be taxable in his hands only since its income from own Talent.	-	-
(v)	Cash gift received by golu from friend of Mr. Mahadev Since it does not exceed ₹ 50,000 hence not taxable and hence It cannot be clubbed	-	-
(vi)	Income of minor married daughter clubbed in hands of parents whose income is higher after	38,500	-



	exemption under Section 10(32) of ₹1,500 40,000 - 1,500 =		
	Total Taxable Income	6,03,500	3,80,000

Illustration 06 [PYQ Nov 2020]

Determine the Gross total income of Shri Ram Kumar and Smt. Ram Kumar for the assessment year 2026-27 from the following :

- Salary received by Shri Ram Kumar from a company ₹ 1,80,000 per annum and Smt. Ram Kumar also doing job in a company and getting salary of ₹ 2,40,000 per annum.
- Shri Ram Kumar transferred a flat to his wife Smt. Ram Kumar on 1st September, 2025 for adequate consideration. The rent received from this let-out flat is ₹ 9,000 per month.
- Shri Ram Kumar and his wife Smt. Ram Kumar both are partners in a firm. Shri Ram Kumar received ₹ 36,000 and Smt. Ram Kumar received ₹ 64,000 as interest from the firm and also had a share of profit of ₹ 12,000 and ₹ 26,000 respectively.
- Smt. Ram Kumar transferred 10% debentures worth ₹ 3,00,000 to Shri Ram Kumar. The whole amount of ₹ 3,30,000 invested by Shri Ram Kumar in the similar investments and earned income of ₹ 39,000.
- Mother of Shri Ram Kumar transferred a property to Master Rohit (son of Shri Ram Kumar) in the year 2022. Master Rohit (Aged 13 years) received of ₹ 15,000 as income from this property on 20th February, 2026.

Solution

**Computation of Gross Total Income of Shri Ram Kumar and Smt. Ram Kumar
for A.Y. 2026-27:**

Particulars	Mr. Ram	Smt. Ram
Salary (1,80,000 - standard deduction 50,000, 2,40,000 - standard deduction 50,000)	1,30,000	1,90,000
Income from HP [9,000 x 5 = 45,000]		
(-) standard deduction 30%, 9,000 x 7 months (-) standard deduction @30%	31,500	44,100
Share of profit from firm (exempt)	Nil	Nil
Salary/Interest from partnership firm	36,000	64,000
Interest/received by Ram Kumar on 30.04.2025 from PQR Ltd. (taxable in the hands of Smt. Ram as debentures were transferred to Shri Ram Kumar without consideration)	Nil	30,000
Interest received by Shri Ram Kumar on 25.03.2026 from DEF Ltd.:		
• Interest taxable in the hands of Smt. Ram (39,000 x 3,00,000/3,30,000)	Nil	35,455
• Interest taxable in the hands of Shri Ram Kumar (39,000 x 30,000/3,30,000)	3,545	Nil
• Property Income of Master Smt. Ram Kumar [15,000 (-) Standard deduction u/s 24(a) 4,500 (-) exemption u/s 10(32) 1,500]		



(it is assumed that income of Shri Ram Kumar is higher than that of Shri Ram and property given to Smt. Ram is house Property)	-	9,000
Gross total income	2,01,045	3,72,555

Illustration 07 [PYQ July 2021]

Mr. Dharmesh who is 45 years old and his wife Mrs. Anandi who is 42 years old furnished the following information:

	Particulars	Amount (₹)
(i)	Salary income (computed) of Mrs. Anandi	9,60,000
(ii)	Income of minor Son "A" who suffers from disability specified in Section 80 U	3,08,000
(iii)	Income of minor daughter "C" from script writing for Television Serials	1,86,000
(iv)	Income from garment trading business of Mr. Dharmesh	17,50,000
(v)	Cash gift received by minor daughter "C". on 02-10-2025 from friend of Mrs. Anandi, on winning of a story writing competition	45,000
(vi)	Income of minor son "B" form Scholarship received from his School	1,00,000
(vii)	Income of minor son "B" from fixed deposit with Punjab National Bank, made out of income earned from Scholarship	5,000

Compute the total income of Mr. Dharmesh and his wife Mrs. Anandi for Assessment Year 2026-27 assuming that they have not opted to be taxed under section 115BAC.

Solution**Computation of Total Income of Mr. Dharmesh and Mrs. Anandi for A.Y. 2026-27:**

Particulars		Mr. Dharmesh	Mrs. Anandi
		Amount (₹)	
Salary income (computed)			9,60,000
Income from garment trading business		17,50,000	
Total Income before including income of minor children		17,50,000	9,60,000
Income of minor son "A"			
Income of ₹ 3,08,000 of minor son A who suffers from disability specified in section 80U [Since minor child A is suffering from disability specified under section 80U, hence, his income would not be included in the income of the parent but would be taxable in the hands of the minor child]			
Income of minor son "B"			
Income of ₹ 1,00,000 from scholarship [Exempt u/s 10(16)]		—	
Income from fixed deposit with PNB		5,000	



[Since Mr. Dharmesh's income is greater than that of Mrs. Anandi, income of minor son B from fixed deposit would be included in the hands of Mr. Dharmesh. Interest from bank deposit has to be included in Mr. Dharmesh's income, even if deposit is made out of income earned from scholarship]			
Less: Exemption under section 10(32)	1,500	3,500	
Income of minor daughter "C"			
Income of ₹ 1,86,000 from script writing for television serials [Income derived by a minor child from any activity involving application of his/her skill, talent, specialized knowledge and experience is not to be included in the hands of the parent]		Nil	
Hence, clubbing provisions will not apply in this case/no adjustment is required. Cash gifts of ₹ 45,000 received from friend of Mrs. Anandi [Gift not exceeding ₹ 50,000 received from a non-relative is not taxable under section 56(2)(x)] Hence, clubbing provisions will not apply in this case / no adjustment is required.			
Gross Total Income/Total Income		17,53,500	9,60,000

Note: As per section 10(16), scholarships granted to meet the cost of education is exempt from tax. The purpose of scholarship received by minor son B is explicitly not mentioned in the question. However, scholarships given by schools are generally in the form of financial assistance for meeting the cost of education. Hence, it is logical to assume that the scholarship to B has been granted to him to meet his cost of education. Based on this assumption, the same has been treated as exempt from tax u/s 10(16). Alternate view: However, in absence of specific information, it is possible to assume that such scholarship has been granted on account of B's exceptional academic achievements i.e., involving application of his skill, talent, specialised knowledge and experience and hence would be covered under the proviso to section 64(1 A) and thus should not be included in the income of parent.

Illustration o8 [PYQ Dec 2021]

Details of Income of Mr. R and his wife Mrs. R for PY 2025-26 are as under:

- (i) Mr. R transferred his self-occupied property without any consideration to the HUF of which he is a member. During the previous year 2025-26 the HUF earned an income of ₹ 50,000 from such property.
- (ii) Mr. R transferred ₹ 4,00,000 to his wife Mrs. R on 01.04.2007 without any consideration which was given as a loan by her to Mr. Girish. She earned ₹ 3,50,000 as interest during the earlier previous years which was also given as a loan to Mr. Girish. During the previous year 2025-26, she earned interest @11% per annum.



- (iii) Mr. R and Mrs. R both hold equity shares of 27% and 25% respectively in AMG Limited. They are also working as employees in such Company. During the financial year 2025-26 they have withdrawn a salary of ₹ 3,20,000 and 2,70,000 respectively.
- (iv) Mrs. R transferred 5,000 equity shares of RSB Ltd. on 17.09.2015 to Mr. R without any consideration. The Company issued 3,000 bonus shares to Mr. R in 2018. On 04.03.2026, Mr. R sold entire share holdings and earned ₹ 5,20,000 as capital gains.

Apart from above income, Mr. R has income from commission ₹ 4,00,000 and Mrs. R has interest income of ₹ 3,30,000.

Compute Gross Total income of Mr. R and Mrs. R for the assessment year 2026-27.

Solution

Computation of Gross Total Income of Mr. R and Mrs. R for A.Y. 2026-27

	Particulars	Mr. R	Mrs. R
		Amount (₹)	
I.	Income from house property		
	Income from property transferred to HUF without consideration		
	Since Mr. R has transferred his property to his HUF without consideration, income of ₹50,000 from such property would be included in the total income of Mr. R as per section 64(2).	50,000	
II.	Capital Gains		
	Income from equity shares transferred by Mrs. R to Mr. R without consideration		
	Capital gains arising to Mr. R from transfer of equity shares of RSB Ltd. gifted to him by Mrs. R would be included in the hands of Mrs. R [₹ 5,20,000 x 5,000/8,000]		3,25,000
	Capital gains arising to Mr. R from transfer of bonus shares issued by RSB Ltd. on the basis of holding of the said equity shares would be included in the income of Mr. R and not Mrs. R, since income derived from accretion of the transferred asset cannot be clubbed with the income of transferor of the original asset i.e., Mrs. R [₹ 5,20,000 x 3,000/8,000]	1,95,000	
III.	Income from Other Sources		
	Income from commission	4,00,000	
	Interest income		3,30,000
	Interest income on ₹ 4 lakh transferred by Mr. R to Mrs. R without consideration		
	Income of ₹ 44,000, i.e., 11% of ₹4,00,000, being the amount transferred by Mr. R to Mrs. R without any consideration and loaned by her to	44,000	



	Mr. Girish, would be included in the income of Mr. R.		
	Income of ₹ 38,500 i.e., 11 % of ₹3,50,000, being the interest earned by Mrs. R out of amount gifted by Mr. R and thereafter, given by her as loan to Mr. Girish, would be included in the income of Mrs. R, as income derived by Mrs. R from accretion of the amount gifted by Mr. R (i.e., interest income) cannot be included in the income of Mr. R.		38,500
	Total income [before considering adjustment on account of item (iii) i.e., salary income from a company in which both Mr. R and Mrs. R have substantial interest]	6,89,000	6,93,500
IV.	Salary income from a company in which both Mr. R and Mrs. R have substantial interest		
	Since both Mr. R and Mrs. R have substantial interest in AMG Ltd. (on account of holding equity shares carrying 20% or more of voting power) and both are in receipt of income by way of salary from AMG Ltd., such salary income would be includible in the hands of that spouse, whose total income, before including such salary income, is higher. Accordingly, the salary income of both Mr. R and Mrs. R would be included in the hands of Mrs. R in this case, since her total income, before including such income, is higher than that of Mr. R.		>
	Salary income of Mr. R = ₹ 3,20,000 - ₹50,000 (standard deduction)		2,70,000
	Salary income of Mrs. R = ₹ 2,70,000 - ₹50,000 (standard deduction)		2,20,000
	Gross Total Income	6,89,000	11,83,500

Illustration 09 [PYQ May 2022]

Mr. Sarthak is a member of HUF. It consists of himself, his wife Juhi and his major son Arjun and his minor daughter Aditi. Mr. Sarthak transferred his house property acquired through his personal income to the HUF without any consideration.

On 01.10.2025, HUF is partitioned and such property being divided equally. Net annual value of the property for the Previous Year 2025-26 is ₹ 1,00,000. Determine the tax implications.

Solution

Particulars	₹
Since Mr. Sarthak, who is a member of the HUF, transfers the house property acquired by him out of his personal income to the HUF without	35,000



any consideration, the income from such property would continue to be included in his total income upto the date of partition. Accordingly, income from such property for six months upto the date of partition i.e., 30.9.2024 ($6/12 \times ₹ 70,000$ [Net Annual Value of ₹ 1,00,000 less deduction under section 24(a) @30%]) would be included in the total income of Mr. Sarthak.	
Since the HUF was partitioned on 1.10.2025, the income derived from such converted house property as is received by Mr. Sarthak's spouse, Juhi, on partition will be deemed to arise to Mr. Sarthak from house property transferred indirectly by him to her and consequently, such income would also be included in the total income of Mr. Sarthak. Accordingly, Mr. Sarthak's share (25%) and Juhi's share (25%) would be included in the total income of Mr. Sarthak. Sarthak's Share [25% of ₹ 35,000 ($₹ 70,000 \times 6/12$)]	8,750
Juhi's Share [25% of ₹ 35,000] included in the total income of Sarthak	8,750
Income from house property includible in the income of Mr. Sarthak	52,500
25% share of Sarthak's minor daughter, Aditi, i.e., ₹ 8,750, being 25% of ₹ 35,000, would be included in the total income of Mr. Sarthak or Juhi, whosoever's total income, before including Aditi's income, is higher. Such parent shall be entitled to an exemption of ₹ 1,500 under section 10(32). 25% share of Sarthak's major son, Arjun, i.e., ₹ 8,750, being 25% of ₹ 35,000, would be included in Arjun's total income. Distribution of house property on partition of HUF is not a transfer for levy of capital gains tax.	

Illustration 10 [PYQ Nov 2022]

From the following transactions compute the total income of Mr. Raman and his wife Savita for the Assessment year 2026-27.

- (i) Mr. Raman had a fixed deposit of ₹ 5,00,000 in the bank. He instructed the bank to credit the interest on deposit @ 6% from 01-04-2025 to 31-03-2026 to the savings account of his brother's son for his education.
- (ii) Savita is a B.com graduate and working in the ABC Private Limited as an accountant with a monthly salary of ₹ 25,000. Raman holds 30 % equity shares of the ABC Private Limited.
- (iii) Raman started proprietary business on 01-04-2024 with a capital of ₹ 10,00,000. He incurred a loss of ₹ 2,00,000 during the previous year 2024-25. To overcome the financial position, Savita gifted a sum of ₹ 4,00,000 to him on 01-04-2025 which was immediately invested in the business by Mr. Raman. He earned a profit of ₹ 3,00,000 during the previous year 2025-26.
- (iv) Sajjan, younger son of Raman, aged 17 years won in a debate competition during the annual competitions held at his school and received a cash award of ₹ 10,000 and he also earned interest of ₹ 7,000 on balance maintained in his savings bank account.

Solution

Computation of Total Income of Mr. Raman and Mrs. Savita for A.Y. 2026-27



Particulars	Mr. Raman	Mrs. Savita
	Amount (₹)	
(i) Interest on fixed deposits [Income would be included in the hands of Raman, since he has transferred income to his brother's son without transfer of the asset, being fixed deposit] [₹ 5,00,000 x 6%]	30,000	
(ii) Salary income [₹ 3,00,000 (₹ 25,000 x 12) less standard deduction of ₹ 50,000] [Mrs. Savita's salary would not be included in the income of Raman, who has substantial interest in the company, since she possesses the relevant professional qualifications for working as an accountant]		2,50,000
(iii) Savita gifted ₹ 4,00,000 to Mr. Raman, which Mr. Raman has invested in the business. In such case, proportionate income (i.e., $\frac{1}{3} \times ₹ 3,00,000$) arising from such investment is to be included in the total income of Savita. Mr. Raman's contribution in capital as on 1.4.2025 = ₹ 8,00,000 [₹10,00,000 - ₹ 2,00,000] Mrs. Savita's contribution on 1.4.2025 = ₹ 4,00,000. ₹ 3,00,000, being the profit for P.Y.2025-26 to be apportioned on the basis of capital employed on the first day of the previous year i.e., as on 1.4.2025 (8:4 or 2:1)	2,00,000	1,00,000
Total income [before considering minor income from interest on savings account]	2,30,000	3,50,000
(iv) Cash award won in a debate by Sajan, minor son, would not be included in the hands of either- parent, since such income arises from his own skills/talent.	—	—
However, interest of ₹ 7,000 on savings bank account (after providing for deduction of ₹ 1,500) is to be included in the hands of Mrs. Savita, since her income is higher than that of her husband [₹ 7,000 - ₹ 1,500]	—	5,500
Gross Total Income	2,30,000	3,55,500
Less: Deduction under section 80TTA (Interest on savings bank account)		
Total Income	2,30,000	3,50,000

Illustration 11 [PYQ Nov 2023]

Mr. Chaman who is 50 years old and his wife Mrs. Chaman who is 48 years old furnish the following information:- (all the amount of incomes/gains/losses are computed as per the provisions of Income-tax Act)

- (i) Mr. Chaman's salary income-₹11,00,000.



- (ii) Mrs. Chaman's income from Kathak performances ₹ 2,50,000. She is a professional Kathak dancer and pursue dancing as her profession.
- (iii) Mrs. Chaman earned long-term capital gains of ₹ 5,50,000 from sale of shares.
- (iv) Mrs. Chaman gifted ₹ 2,00,000 to Mr. Chaman out of her Stridhan on 1.4.2025. Mr. Chaman invested the entire amount in stock market but suffered a short-term capital loss of ₹ 5,10,000.
- (v) Miss Naina, their minor daughter, earned ₹ 3,56,000 by performing in various quiz competitions held online during the year 2025-26. She kept that amount in savings bank account and earned interest of ₹ 15,000 during the year 2025-26.
- (vi) Master Neelabh, their minor son earned ₹ 35,000 from fixed deposit which was made out of the cash he received on his birthday from his friends and family. Neelabh suffers from disability as mentioned under Section 80U. The medical certificate shows a disability of upto 75%.

Compute the total income in the hands of Mr. and Mrs. Chaman and their minor children for the Assessment Year 2026-27. Ignore Section 115BAC pertaining to alternative tax regime.

Solution

Computation of total income of Mr. Chaman, Mrs. Chaman and their minor children for the A.Y. 2026-27

Particulars	Mr. Chaman	Mrs. Chaman	Naina, minor daughter	Neelabh, minor son
	₹	₹	₹	₹
Income under the head Salaries				
Salaries (computed)	11,00,000			
Profits and gains from business or profession				
Income from Kathak performances		2,50,000		
Capital Gains				
Long term capital gains from sale of shares		5,50,000		
Less: Set off of short-term capital loss from long term capital gain [Short term capital loss to the extent of ₹ 2 lakhs would be included in the income of Mrs. Chaman, since the shares are purchased by Mr. Chaman from the amount of ₹ 2 lakhs gifted by Mrs. Chaman out of her Stridhan. Clubbing provisions would be attracted even if it is a loss and not income] [Refer Note 1 and 2 below]		2,00,000		
The balance short-term capital loss of ₹ 3,10,000 has to be carried		3,50,000		



forward by Mr. Chaman, since it cannot be set-off against salary income.				
Income [before considering income of minor son and minor daughter]	11,00,000	6,00,000		
Income of Naina, minor daughter, from performances in various quiz competitions would not be included in the hands of either parent, since			3,56,000	
such income arises from her own skills/talent.	13,500			
However, interest of ₹ 15,000 on saving bank account [after providing for deduction of ₹ 1,500, being exempt under section 10(32)] is to be included in the hands of Mr. Chaman, since his income is higher than that of his wife [₹ 15,000- X 1,500] Income of Neelabh, minor son suffering from disability u/s 80U, from fixed deposits would not be included in the income of parent but would be taxable in his hands.				35,000
Gross Total Income	11,13,500	6,00,000	3,56,000	35,000
Less: Deductions				
- Under section 80TTA In respect of interest on saving bank account to the extent of	10,000			
- Under section 80U Flat deduction of ₹ 75,000 to a person with disability. However, deduction would be restricted to gross total income				35,000
Total Income	11,03,500	6,00,000	3,56,000	Nil

Note 1:

The question mentions that Mrs. Chaman gifted ₹ 2 lakh to Mr. Chaman out of her Stridhan on 1.4.2026 and that Mr. Chaman invested the entire amount in stock market but suffered a short-term capital loss of ₹ 5,10,000. It is not possible to invest ₹ 2 lakhs and incur short-term capital loss of ₹ 5.10 lakhs. Accordingly, in the above solution, it has been assumed that the remaining ₹ 3,10,000 is invested by Mr. Chaman and hence the same would be a short-term capital loss to be carried forward by him.

Due to the use of the words “invested the entire amount in the stock market” in the question, it is possible to take a view that the entire capital loss of ₹ 5,10,000 has to be set off against long-term capital gains of ₹ 5,50,000 in the hands of Mrs. Chaman. In which case the total income of Mrs. Chaman would be ₹ 2,90,000 instead of ₹ 6,00,000. Also, there would be no short-term capital loss in the hands of Mr. Chaman.



Note 2:

Item (iv) mentions that the gift was made by Mrs. Chaman to Mr. Chaman on 1.4.2025, which falls outside the P.Y. 2025-26. Since the date of gift has been mentioned as 1.4.2026 in the question, as per the plain reading, such short-term capital loss cannot be set-off against long-term capital gains of ₹5,50,000. In such a case, the total income of Mr. Chaman would be ₹8,00,000.

Illustration 12 [RTP May 2022]

Mr. Samrat and his wife, Mrs. Komal, holds 12% voting power each in ABC (P) Ltd. Mr. Samrat and Mrs. Komal are working in ABC (P) Ltd. However, Mrs. Komal is not qualified for the job. From the following information given in respect of F.Y. 2025-26, you are required to compute the gross total income of Mr. Samrat and Mrs. Komal for the A.Y. 2026-27

- (i) Dividend of ₹ 22,500 and ₹ 45,000 is received by Mr. Samrat and Mrs. Komal, respectively, from ABC (P) Ltd. Mr. Samrat has instructed the company to pay 50% of his dividend to Ms. Kajal, daughter of his deceased brother.
- (ii) Salary earned by Mr. Samrat and Mrs. Komal from ABC (P) Ltd. is ₹ 8,50,000 and ₹ 5,50,000, respectively.
- (iii) Business income earned by Mr. Samrat from his sole proprietary business is ₹ 15,60,000
- (iv) Interest on fixed deposit earned by Mrs. Komal of ₹ 9,00,000.
- (v) Their son, Akash, aged 10 years having PAN, received interest of ₹ 54,000 from bank on a fixed deposit created by his grandfather in his name.

Solution**Computation of Gross Total Income of Mr. Samrat and Mrs. Komal for A.Y. 2026 -27**

Particulars	Mr. Samrat		Mrs. Komal	
	₹	₹	₹	₹
Salary of Samrat	8,50,000			-
Less: Standard deduction under section 16(ia)	50,000	8,00,000		-
Salary of Komal	5,50,000			-
Less: Standard deduction under section 16(ia)	50,000	5,00,000		-
[Salary earned by Mrs. Komal has to be included in the total income of Mr. Samrat, since he has substantial interest in the concern (i.e., having 24% voting power in ABC (P) Ltd., along with his wife) and Mrs. Komal does not have any professional qualification for the job.]				
Business Income		15,60,000		-
Dividend income from ABC (P) Ltd. [Taxable in the hands of Mr. Samrat as per section 60, since he	[22,500/90 x 100 x 2]	50,000	[45,000/90	50,000



transferred the income i.e., dividend without transferring the asset i.e., shares]			x 100]	
Interest on Fixed Deposit earned by Mrs. Komal		-		9,00,000
Total Income (before including minor's income)		29,10,000		9,50,000
Income of minor child to be included in Mr. Samrat's income, since his total income before including minor's income is higher than that of Mrs. Komal. [$\text{₹ } 54,000 / 90 \times 100$]	60,000			
Less: Exemption of ₹ 1,500 u/s 10(32) in respect of the income of each child so included.	1,500	58,500		
Gross Total Income		29,68,500		9,50,000

Illustration 13 [RTP Nov 2020]

Mr. Karan gifted a sum of ₹ 9 lakhs to his brother's minor son on 1-5-2025. On the same date, his brother gifted debentures worth ₹ 10 lakhs to Mrs. Karan. Son of Mr. Karan's brother invested the amount in fixed deposit with Canara Bank @ 9% p.a. interest and Mrs. Karan received interest of ₹ 81,000 on these debentures during the previous year 2025-26. Discuss the tax implications under the provisions of the Income- tax Act, 1961.

Solution

In the given case, Mr. Karan gifted a sum of ₹ 9 lakhs to his brother's minor son on 1.5.2025 and simultaneously, his brother gifted debentures worth ₹ 10 lakhs to Mr. Karan's wife on the same date. Mr. Karan's brother's minor son invested the gifted amount of ₹ 9 lakhs in fixed deposit with Canara Bank.

These transfers are in the nature of cross transfers. Accordingly, the income from the assets transferred would be assessed in the hands of the deemed transferor because the transfers are so intimately connected to form part of a single transaction and each transfer constitutes consideration for the other by being mutual or otherwise.

If two transactions are inter-connected and are part of the same transaction in such a way that it can be said that the circuitous method was adopted as a device to evade tax, the implication of clubbing provisions would be attracted.

As per section 64(1A), all income of a minor child is includible in the hands of the parent, whose total income, before including minor's income is higher. Accordingly, the interest income arising to Mr. Karan's brother's son from fixed deposits would be included in the total income of Mr. Karan's brother, assuming that Mr. Karan's brother's total income is higher than his wife's total income, before including minor's income. Mr. Karan's brother can claim exemption of ₹ 1,500 under section 10(32).

Interest on debentures arising in the hands of Mrs. Karan would be taxable in the hands of Mr. Karan as per section 64(1)(iv).

This is because both Mr. Karan and his brother are the indirect transferors of the income to their spouse and minor son, respectively, with an intention to reduce their burden of taxation.



In the hands of Mr. Karan, interest received by his spouse on debentures of ₹ 9 lakhs alone would be included and not the entire interest income on the debentures of ₹10 lakhs, since the cross transfer is only to the extent of ₹ 9 lakhs.

Hence, only proportional interest (i.e., 9/10th of interest on debentures received) ₹ 72,900 would be includible in the hands of Mr. Karan.

The provisions of section 56(2)(x) are not attracted in respect of sum of money transferred or value of debentures transferred, since in both the cases, the transfer is from a relative.

Illustration 14 [RTP May 2020 & MTP Nov 2020 & MTP Nov 2021]

Rayaan gifted ₹ 15 lakhs to his wife, Sargam on her birthday on, 23rd February, 2025. Sargam lent ₹ 8,00,000 out of the gifted amount to Karuna on 1st April, 2025 for six months on which she received interest of ₹ 80,000. The said sum of ₹ 80,000 was invested in shares of a listed company on 5th October, 2025, which were sold for ₹ 96,000 on 28th March, 2026. Securities transactions tax was paid on purchase and sale of such shares. The balance amount of gift was invested on 1st April 2025, as capital by Sargam in her new business. She suffered loss of ₹ 52,000 in the business in Financial Year 2025-26.

In whose hands the above income and loss shall be included in Assessment Year 2026-27, assuming that capital invested in the business was entirely out of the funds gifted by her husband. Support your answer with brief reasons.

Solution

In computing the total income of any individual, there shall be included all such income as arises directly or indirectly, to the spouse of such individual from assets transferred directly or indirectly, to the spouse by such individual otherwise than for adequate consideration or in connection with an agreement to live apart.

Interest on loan: Accordingly, ₹ 80,000, being the amount of interest on loan received by Mrs. Sargam, wife of Mr. Rayaan, would be includible in the total income of Mr. Rayaan, since such loan was given out of the sum of money received by her as gift from her husband.

Loss from business: As per Explanation 2 to section 64, income includes loss. Thus, clubbing provisions would be attracted even if there is loss and not income.

Thus, the entire loss of ₹ 52,000 from the business carried on by Mrs. Sargam would also be includible in the total income of Mr. Rayaan, since as on 1st April 2025, the capital invested was entirely out of the funds gifted by her husband.

Short-term capital gain: Income from the accretion of the transferred asset is not liable to be included in the hands of the transferor and, therefore, short-term capital gain of ₹ 16,000 (₹ 96,000, being the sale consideration less ₹ 80,000, being the cost of acquisition) arising in the hands of Mrs. Sargam from sale of shares acquired by investing the interest income of ₹ 80,000 earned by her (from the loan given out of the sum gifted by her husband), would not be included in the hands of Mr. Rayaan. Thus, such income is taxable in the hands of Mrs. Sargam

Illustration 15 [MTP May 2022]

Mr. Suresh is Lawyer by profession and his income from profession for the year 2025-26 is ₹ 10,00,000. From the information given by him, you are required to compute his total



income for A.Y. 2026-27 and the losses to be carried forward assuming that he files his income tax returns every year before due date

Particulars	₹
Income of minor son Raj from company deposit	1,60,000
Income of minor daughter Rashmi (professional dancer) from her dance performances	15,00,000
Interest from Canara bank received by Rashmi on deposit made out of income earned from her dance performances	15,000
Loss from house property (computed)	2,50,000
Short term capital loss	6,00,000
Long-term capital gain from equity shares under section 112A	1,20,000
Long term capital gain under section 112	3,00,000
Short term capital loss under section 111A	5,00,000

Assume that Mr. Suresh does not opt for the provisions of section 115BAC and his income before considering clubbing provisions is higher than that of his wife.

Solution

Computation of Total Income of Mr. Suresh for A.Y. 2026-27

Particulars	₹	₹	₹
Profits and gains from business and profession			
Income from profession		10,00,000	
Less: Loss from house property (can be set-off to the extent of ₹ 2,00,000, as per section 71(3A)).		2,00,000	8,00,000
Capital gains			
Long term capital gains on sale of equity shares under section 112A		1,20,000	

Long term capital gain under section 112		3,00,000	
Less: Short term capital loss set off against long-term capital gain as per section 74		(4,20,000)	Nil
Income from other sources			
Income of minor son Raj			
Income from company deposit includible in the hands of Mr. Suresh as per section 64(1A)	1,60,000		
Less: Exemption in respect of income of minor child u/s 10(32)	1,500	1,58,500	
Income of minor daughter Rashmi			
- Income of ₹ 15,00,000 of minor daughter Rashmi (professional dancer) not includible in the hands of parent, since such income is earned on account of her special skills	Nil		
- Interest received on deposit with Canara Bank made out of amount earned on account of her special talent is includible as per section 64(1A), since interest income arises out of deposit made and not on account of her special skills	15,000		
	Nil		



Less: Exemption in respect of income of minor child u/s 10(32)	1,500	13,500	1,72,000
Total Income			9,72,000

Losses to be carried forward to A.Y.2027-28

Particulars	₹
Loss from house property [₹ 2,50,000 – ₹ 2,00,000]	50,000
Short term capital loss under section 111A	5,00,000
Short term capital loss (other than above) [₹ 6,00,000 – ₹ 4,20,000]	1,80,000

Note – Short-term capital loss under section 111A can be set-off against long-term capital gains under section 112 & 112A. In such a case, the losses to be carried forward to A.Y.2027-28 would be as under –

Particulars	₹
Loss from house property [₹ 2,50,000 – ₹ 2,00,000]	50,000
Short term capital loss under section 111A [₹ 5,00,000 – ₹ 4,20,000]	80,000
Short term capital loss (other than above)	6,00,000

Illustration 16 [MTP Nov 2021]

Aggarwal & Sons, HUF purchased a house property in the year 1950 for ₹ 50,000. On 31.10.2025, the HUF was totally partitioned and the aforesaid house property was given to Mr. Subhash Aggarwal, a member of the family. Fair Market value of the house as on 31.10.2025 was ₹ 21,00,000. FMV of the house as on 1.4.2001 was ₹ 3,50,000. What will be the tax implications in the hands of Mr. Subhash Aggarwal and the HUF?

Solution

Tax implications in the hands of HUF

As per section 47, any distribution of capital assets on the total or partial partition of a HUF would not be regarded as transfer for the purpose of capital gains tax.

In this case, Aggarwal & Sons, HUF transferred the asset to Mr. Subhash Aggarwal, a member of HUF on total partition of the HUF. Hence, the transaction would not be regarded as transfer.

Tax implications in the hands of Mr. Subhash Aggarwal

If an immovable property is received by any person without consideration, the stamp duty value of such property would be taxed as the income of the recipient under section 56(2)(x), if it exceeds ₹ 50,000. However, it would not be taxable as income if the transfer is by way of a transfer, inter alia, on total or partial partition of a HUF.

In the give case, since Mr. Subhash Aggarwal received the house property on total partition of the HUF, it would not be taxable in his hand.

Illustration 17 [MTP Nov 2023]

Mr. Dinesh who is 45 years old and his wife Mrs. Heena who is 42 years old furnished the following information:

S. No.	Particulars	Amount (₹)
(i)	Salary income (computed) of Mrs. Heena	9,60,000
(ii)	Income of minor son "Sameer" who suffers from disability specified in section 80U	3,08,000



(iii)	Income of minor daughter "Nisha" from script writing for Television Serials	1,86,000
(iv)	Income from garment trading business of Mr. Dinesh	17,50,000
(v)	Cash gift received by minor daughter "Nisha" on 02-10-2023 from friend of Mrs. Heena, on winning of a story writing competition	45,000
(vi)	Income of minor son "Harsh" form scholarship received from his school to meet the cost of education	1,00,000
(vii)	Income of minor son "Harsh" from fixed deposit with Punjab National Bank, made out of income earned from scholarship	5,000

Compute the total income of Mr. Dinesh and his wife Mrs. Heena for Assessment Year 2026 -27 assuming that they have not opted to be taxed under section 115BAC.

Solution

Computation of Total Income of Mr. Dinesh and Mrs. Heena for A.Y. 2026-27

Particulars		Mr. Dinesh	Mrs. Heena
		Amount (₹)	
Salary income (computed)			9,60,000
Income from garment trading business		17,50,000	
Total Income before including income of minor children		17,50,000	9,60,000
<u>Income of minor son "Sameer"</u>			
Income of ₹ 3,08,000 of minor son Sameer who suffers from disability specified in section 80U [Since minor child Sameer is suffering from disability specified under section 80U, hence, his income would not be included in the income of the parent but would be taxable in the hands of the minor child]		-	
<u>Income of minor son "Harsh"</u>			
Income of ₹ 1,00,000 from scholarship [Exempt u/s 10(16)]		-	
Income from fixed deposit with PNB [Since Mr. Dinesh's income is greater than that of Mrs. Heena, income of minor son Harsh from fixed deposit would be included in the hands of Mr. Dinesh. Interest from bank deposit has to be included in Mr. Dinesh's income, even if deposit is made out of income earned from scholarship]	5,000		
Less: Exemption under section 10(32)	1,500	3,500	
<u>Income of minor daughter "Nisha"</u>			
Income of ₹ 1,86,000 from script writing for television serials [Income derived by a minor child from any activity involving application of his/her skill, talent, specialized knowledge and experience is not to be included in the hands of the parent] Hence, clubbing provisions will not apply in this case/no adjustment is required.		Nil	



Cash gifts of ₹ 45,000 received from friend of Mrs. Heena [Gift not exceeding ₹ 50,000 received from a non-relative is not taxable under section 56(2)(x)] Hence, clubbing provisions will not apply in this case / no adjustment is required.		Nil	
Gross Total Income/ Total Income		17,53,500	9,60,000

Illustration 18 [MTP May 2023]

Mr. Om has gifted a house property valued at ₹ 50 lakhs to his wife, Mrs. Uma, who in turn has gifted the same to Mrs. Pallavi, their daughter-in-law. The house was let out at ₹ 25,000 per month throughout the year. Compute the total income of Mr. Om and Mrs. Pallavi. Will your answer be different if the said property was gifted to his son, husband of Mrs. Pallavi?

Solution

As per section 27(i), an individual who transfers otherwise than for adequate consideration any house property to his spouse, not being a transfer in connection with an agreement to live apart, shall be deemed to be the owner of the house property so transferred.

Therefore, in this case, Mr. Om would be the deemed owner of the house property transferred to his wife Mrs. Uma without consideration.

As per section 64(1)(vi), income arising to the son's wife from assets transferred, directly or indirectly, to her by an individual otherwise than for adequate consideration would be included in the total income of such individual.

Income from let-out property is ₹ 2,10,000 [i.e., ₹ 3,00,000, being the actual rent calculated at ₹ 25,000 per month less ₹ 90,000, being deduction under section 24@30% of ₹ 3,00,000]

In this case, income of ₹ 2,10,000 from let-out property arising to Mrs. Pallavi, being Mr. Om's son's wife, would be included in the income of Mr. Om, applying the provisions of section 27(i) and section 64(1)(vi). Such income would, therefore, not be taxable in the hands of Mrs. Pallavi.

In case the property was gifted to Mr. Om's son, the clubbing provisions under section 64 would not apply, since the son is not a minor child. Therefore, the income of ₹ 2,10,000 from letting out of property gifted to the son would be taxable in the hands of the son.

It may be noted that the provisions of section 56(2)(x) would not be attracted in the hands of the recipient of house property, since the receipt of property in each case was from a "relative" of such individual. Therefore, the stamp duty value of house property would not be chargeable to tax in the hands of the recipient of immovable property, even though the house property was received by her or him without consideration.

Note - The first part of the question can also be answered by applying the provisions of section 64(1)(vi) directly to include the income of ₹ 2,10,000 arising to Mrs. Pallavi in the hands of Mr. Om. [without first applying the provisions of section 27(i) to deem Mr. Om as the owner of the house property transferred to his wife Mrs. Uma without consideration], since section 64(1)(vi) speaks of clubbing of income arising to son's wife from indirect transfer of assets to her by her husband's parent, without consideration.



Gift of house property by Mr. Om to Mrs. Pallavi, via Mrs. Uma, can be viewed as an indirect transfer by Mr. Om to Mrs. Pallavi.

Illustration 19 [RTP May 2023]

Examine the tax implication of each transaction and compute the total income of Mr. Tushar and Mrs. Tushar and their minor son for the assessment year 2026-27, assuming they do not wish to opt for section 115BAC.

- (1) Mr. Tushar has a fixed deposit of ₹ 6,00,000 in State bank of India. He instructed the bank to credit the interest on the deposit @9% from 1st April, 2025 to 31st March, 2026 to the savings bank account of Mr. Raj, son of his brother, to help him in his education.
- (2) Mr. Tushar started a proprietary business on 1st May, 2025 with capital of ₹ 6,00,000. His wife, Mrs. Tushar, a software Engineer, gave cash of ₹ 5,00,000 on 1st May, 2025, which was immediately invested in the business by Mr. Tushar. He earned a profit of ₹ 4,00,000 during the previous year 2025-26.
- (3) Mr. Tushar's minor son derived an income of ₹ 20,000 through a business activity involving application of his skill and talent.

Solution

Computation of total income of Mr. Tushar and Mrs. Tushar and minor son for the A.Y. 2026-27

Particulars	Amount (₹) Mr. Tushar	Amount (₹) Mrs. Tushar	Amount (₹) Minor Son
Interest on Mr. Tushar fixed Deposit with State bank of India (₹ 6,00,000 x 9%)	54,000		
As per section 60, in case there is a transfer of income without transfer of assets from which such income is derived, such income shall be treated as income of the transferor. Therefore, the fixed deposit interest of ₹ 54,000 transferred by Mr. Tushar to Mr. Raj shall be included in the total income of Mr. Tushar			
Profit for P.Y. 2025-26 to be apportioned on the basis of capital employed on the first day of previous year i.e. as on 1st May, 2025, since business started on 1.5.2025 (6:5)	2,18,182	1,81,818	
Share of income of Mr. Tushar [₹ 4,00,000 x 6/11] Share of Income of Mrs. Tushar [₹ 4,00,000 x 5/11] Section 64(1)(iv) of the Income-tax Act, 1961 provided for the clubbing of income			



in the hands of the individual, if the income earned is from the assets (other than house property) transferred directly or indirectly to the spouse of the individual, otherwise than for adequate consideration or in connection with an agreement to live apart. Income of minor son through a business activity involving application his skill and talent. In case the income earned by minor child is on account of any activity involving application of any skill or talent, then, such income of the minor child shall not be included in the income of the parent, but shall be taxable in the hands of the minor child. Therefore, the income of ₹ 20,000 derived by minor son through a business activity involving the application of his skill and talent shall not be clubbed in the hands of the parent. Such income will be taxable in the hands of the minor son.			
			20,000
Total Income	2,72,182	1,81,818	20,000

Illustration 20 [PYQ Jan 2026]

Examine whether the following are chargeable to tax in the hands of Mrs. Nitu and the amount liable to tax for the assessment year 2026-27:

1. On the day of her marriage, Mrs. Nitu received gifts totalling ₹ 5,40,000, out of which ₹ 60,000 was received from non-relatives.
2. On 01.11.2025, Mrs. Nitu entered into an agreement to acquire a vacant land from her friend for ₹ 25 lakh. The applicable stamp duty value (SDV) fixed by the authority was ₹ 30 lakh. As per the terms of payment, 2% of the sale consideration was paid through an account payee cheque on the date of the agreement, and the remaining 98% was paid on registration. On 15.12.2025, the date of actual registration, the SDV was enhanced to ₹ 33 lakh by the authority.
3. Mrs. Nitu gifted ₹ 4 lakh on 1st September, 2025 to her husband Mr. Aman, to invest in the business. Mr. Aman started business with a capital of ₹ 12 lakh (including the amount gifted by his wife) and earned a profit of ₹ 5 lakh from this business during the financial year 2025-26.

Solution

Amount liable to tax in the hands of Mrs. Nitu for A.Y. 2026-27

		Amount (₹)
(i)	Gifts received on marriage	



	The amount of ₹ 5,40,000 received by Mrs. Nitu from relatives and non-relatives is not taxable under section 56(2)(x) since such gifts are received on her marriage.	-
(ii)	The difference between stamp duty value on the date of agreement and actual consideration	5,00,000
	The difference between stamp duty value on the date of agreement of ₹ 30 lakhs and actual consideration of ₹ 25 lakhs is taxable under section 56(2)(x) since the difference exceeds ₹ 2,50,000, being the higher of ₹ 50,000 and 10% of consideration.	
	Stamp duty value on the date of agreement is considered since part payment i.e., 2% of sale consideration was paid through account payee cheque on the date of agreement.	
(iii)	Profit from business of Mr. Aman	1,66,667
	Since the amount of ₹ 12 lakhs invested in the business by Mr. Aman includes ₹ 4 lakhs gifted by Mrs. Nitu, the proportionate profit attributable to such gifted amount, computed by taking such investment as on the first day of the previous year i.e., on 1st September 2025 to total investment in the business, is to be included in the income of Mrs. Nitu [₹ 5 lakhs x ₹ 4 lakhs / ₹ 12 lakhs]	

